

Oxford Cambridge and RSA

PREDICTED PAPER

A Level Economics

H460/03 Themes in economics

Difficulty Level: Moderate

Time allowed: 2 hours

You can use:

- a scientific or graphical calculator

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer all the questions.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).

ADVICE

- Read each question carefully before you start your answer.

Section A

Write your answer to each question in the box provided.

1 What is the reward to the factor of production 'land'?

- A Interest
- B Profit
- C Rent
- D Wages

Your answer [1]

2 The marginal propensity to consume (mpc) in an economy is 0.75. What is the value of the multiplier?

- A 0.25
- B 1.33
- C 4
- D 7.5

Your answer [1]

3 Which of the following is a characteristic of money, rather than a function of money?

- A Medium of exchange
- B Portability
- C Store of value
- D Unit of account

Your answer [1]

4 Which of these describes expansionary fiscal policy?

- A A cut in the base rate of interest
- B An increase in government spending funded by borrowing
- C An increase in the rate of income tax
- D The sale of government bonds to commercial banks

Your answer [1]

5 The price of good X rises by 10% and the quantity demanded of good Y falls by 5%. What is the value of the cross elasticity of demand (XED)?

- A -2
- B -0.5
- C +0.5
- D +2

Your answer [1]

6 A monopoly firm has a profit maximising output of 100 units, where price is £20 and average cost is £15. What is the firm's supernormal profit?

- A £5
- B £500
- C £1,500
- D £2,000

Your answer [1]

7 Which of the following would shift the Long Run Aggregate Supply (LRAS) curve outwards?

- A A fall in the general price level
- B A rise in consumer confidence
- C An increase in investment in new capital
- D An increase in the base rate of interest

Your answer ☐ [1]

8 In a market operating under perfect competition in the long run, firms will produce where:

- A $AR = MC$ only
- B $MC = MR = AR = AC$
- C $MC = MR$ but $AR > AC$
- D $MR = 0$

Your answer ☐ [1]

9 The table shows the total utility a consumer gains from ice creams. Units: 1=10, 2=18, 3=24, 4=28, 5=30. What is the marginal utility of the 4th ice cream?

- A 2
- B 4
- C 6
- D 28

Your answer ☐ [1]

10 A UK exporter sells goods worth £500,000 to the USA. The exchange rate is £1 = \$1.25. How many dollars will the exporter receive?

- A \$400,000
- B \$500,000
- C \$625,000
- D \$1,250,000

Your answer ☐ [1]

11 Which of these is most likely to cause a rise in structural unemployment?

- A A fall in aggregate demand during a recession
- B A seasonal fall in tourism during winter
- C Technological change making certain skills obsolete
- D Workers searching for better job opportunities

Your answer ☐ [1]

12 A worker's productivity increases from 10 units per hour to 15 units per hour, while their hourly wage rises from £15 to £18. What is the change in unit labour cost?

- A Decreases by £0.30
- B Decreases by £0.80
- C Increases by £0.20
- D No change

Your answer ☐ [1]

13 In a labour market with a binding minimum wage set above the equilibrium, which of the following is most likely to occur?

- A An increase in the equilibrium wage rate
- B An excess demand for labour
- C An excess supply of labour
- D An increase in the productivity of labour

Your answer ☐ [1]

14 Using the Fisher equation of exchange ($MV = PY$), if the money supply (M) grows by 6% and velocity (V) and real output (Y) are both constant, what will be the rate of inflation?

- A 0%
- B 2%
- C 6%
- D 12%

Your answer ☐ [1]

15 Which of the following would most likely cause a depreciation of a country's exchange rate?

- A A rise in domestic interest rates
- B A rise in exports of the country's goods
- C An increase in foreign direct investment into the country
- D An increase in the country's rate of inflation above its trading partners

Your answer ☐ [1]

16 Income tax rates in a country are 0% on the first £12,500, 20% on income between £12,501 and £50,000, and 40% on income above £50,000. This is an example of:

- A A proportional tax
- B A progressive tax
- C A regressive tax
- D An indirect tax

Your answer ☐ [1]

17 The Gini coefficient of a country falls from 0.40 to 0.32. This suggests that:

- A Absolute poverty has decreased
- B Income inequality has decreased
- C Income inequality has increased
- D The country has achieved perfect equality

Your answer ☐ [1]

18 The imposition of an indirect tax on a good shifts the supply curve upwards. In the new equilibrium, compared to the old equilibrium:

- A Both consumer surplus and producer surplus increase
- B Consumer surplus decreases and producer surplus increases
- C Consumer surplus decreases and producer surplus decreases
- D Consumer surplus increases and producer surplus decreases

Your answer ☐ [1]

19 Which of the following is an injection into the circular flow of income?

- A Household saving
- B Imports of foreign goods
- C Investment spending by firms
- D Taxation by the government

Your answer ☐ [1]

20 A positive externality in consumption, such as vaccination, leads to:

- A MPB being greater than MSB
- B MSB being greater than MPB
- C The good being over-consumed without intervention
- D The good being over-produced without intervention

Your answer ☐ [1]

21 In a perfectly competitive market, a firm is productively efficient at the level of output where:

- A $AR = MC$
- B $MC = AC$ at the minimum of AC
- C $MC = MR$
- D $MR = 0$

Your answer ☐ [1]

22 Which of the following is a necessary condition for a firm to successfully operate price discrimination?

- A The firm must face constant marginal cost
- B The firm must have identical consumers in all markets
- C The firm must have the ability to segment the market
- D The firm must operate under perfect competition

Your answer ☐ [1]

23 A tariff is imposed on imported cars. Which of the following is most likely to occur in the domestic market?

- A A decrease in the domestic price of cars
- B A decrease in government tax revenue
- C An increase in consumer surplus
- D An increase in the quantity of domestically produced cars

Your answer ☐ [1]

24 Which of these is the most liquid financial asset?

- A A 5-year government bond
- B A 90-day time deposit
- C A company share
- D Cash held in a current (sight) account

Your answer ☐ [1]

25 The government imposes a minimum price for alcohol set above the free-market equilibrium price. The most likely consequence is:

- A An excess demand for alcohol
- B An excess supply of alcohol
- C An increase in consumer surplus
- D A shortage of alcohol in the market

Your answer ☐ [1]

26 Which characteristic is shared by both a monopoly and a monopolistically competitive firm?

- A High barriers to entry
- B Homogenous products
- C Long-run supernormal profits
- D Price-making ability (downward sloping demand curve)

Your answer ☐ [1]

27 Which of the following is most likely to cause a rightward shift of short-run aggregate supply (SRAS)?

- A A fall in world oil prices
- B A rise in the national minimum wage
- C An increase in business taxation
- D An increase in consumer confidence

Your answer ☐ [1]

28 The Human Development Index (HDI) measures which of these three components?

- A Employment, inflation, GDP per capita
- B GDP, inflation, life expectancy
- C GNI per capita, life expectancy, education
- D Income inequality, literacy, health spending

Your answer ☐ [1]

29 A Lorenz curve that lies further away from the line of perfect equality indicates:

- A A higher rate of economic growth
- B A lower level of absolute poverty
- C A lower level of income inequality
- D A higher level of income inequality

Your answer ☐ [1]

30 Which of the following would be recorded on the primary income balance of the current account?

- A Foreign aid received by the government
- B Interest received on UK investments held abroad
- C Sales of UK-manufactured cars to Germany
- D Tourism revenue from overseas visitors

Your answer ☐ [1]

Section B

Read the extracts before answering the questions.

Extract 1

The UK housing crisis

The UK housing market has been at the centre of political and economic debate for over a decade. House prices have risen dramatically over the past twenty years. Between 2000 and 2023, average UK house prices rose by around 230%, whilst average earnings rose by only 85%. The ratio of average house prices to average earnings reached over 8 in 2023 — the highest level on record.

Many commentators point to a chronic shortage of housing supply as the root cause of the problem. The UK government has set a target of building 300,000 new homes per year, but this target has rarely been met. In 2022/23, only 234,000 new homes were completed. Planning restrictions, the cost of land, and a shortage of skilled construction workers have all been cited as constraints on housing supply. The supply of housing is widely considered to be price inelastic in the short run.

On the demand side, low interest rates between 2009 and 2021 made mortgages more affordable, while population growth and smaller household sizes added to demand. Help-to-Buy schemes provided government-backed loans to first-time buyers, and Stamp Duty cuts further boosted demand. Some economists have argued that these demand-side policies worsened affordability by pushing prices higher.

The rental market is also under strain. Rents in London rose by 17% in 2023 alone. Proposals for rent controls have been considered. Supporters argue they would protect tenants from unaffordable rent rises, while critics warn of a reduction in the supply of rental housing, arguing that landlords would exit the market if returns fell below acceptable levels.

The Bank of England's decision to raise interest rates from 0.1% in late 2021 to 5.25% by late 2023 significantly increased monthly mortgage costs for many households. Around 1.5 million households saw their fixed-rate mortgages expire in 2023 alone.

Fig. 1.1: UK Average House Price to Earnings Ratio, 2000–2023

[Chart showing ratio rising from 4.1 in 2000 to 8.3 in 2023]

Fig. 1.2: UK New Dwellings Completed (thousands), 2015–2023

2015: 152 2017: 184 2019: 213 2021: 216 2023: 234 Government target: 300

31 Using the data in Fig. 1.2 and information in Extract 1, calculate the percentage shortfall between the number of new homes completed in 2022/23 and the government's annual target.

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[2]

32 Explain, using a demand and supply diagram, how a government-backed Help-to-Buy scheme may have increased house prices.

[illegible]

[3]

33* Evaluate, using an appropriate diagram and the information in Extract 1, whether the introduction of rent controls in the UK housing market would be an effective policy to improve affordability for renters. **[15]**

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Extract 2***UK productivity and the labour market***

UK productivity growth has been notably weak since the 2008 financial crisis. Before 2008, UK labour productivity grew at an average of around 2% per year. Since 2008, it has grown at around 0.5% per year — a phenomenon economists have called the 'productivity puzzle'. The UK lags behind the G7 average, with output per hour worked around 16% below that of France, Germany, and the USA.

Possible explanations include: low business investment compared with competitors, weak management practices in some sectors, skills shortages, and the growth of low-productivity service sector jobs. Business investment as a share of GDP in the UK has been consistently below the OECD average.

The UK labour market has, however, been unusually resilient. The unemployment rate has remained below 5% for most of the period since 2015, and employment rates reached record highs. Yet wage growth has been modest in real terms, and many economists talk of a 'low wage, low productivity' equilibrium.

Inflation rose sharply in 2022, peaking at over 11%. The Monetary Policy Committee (MPC) raised interest rates from 0.1% in December 2021 to 5.25% by August 2023. Critics argued that because the inflation was largely cost-push (caused by energy and food price shocks), raising interest rates would harm growth without effectively controlling inflation. Supporters argued that failure to act would have allowed inflation expectations to become embedded in wage bargaining.

Fig. 2.1: UK CPI Inflation Rate and Bank Rate, 2021–2023

Dec 2021:	CPI 5.4%, Bank Rate 0.25%
Jun 2022:	CPI 9.4%, Bank Rate 1.25%
Oct 2022:	CPI 11.1%, Bank Rate 2.25%
Jun 2023:	CPI 7.9%, Bank Rate 5.00%
Dec 2023:	CPI 4.0%, Bank Rate 5.25%

Fig. 2.2: UK Output per Hour Worked relative to G7 average, 2007–2023

[Line chart showing UK falling from G7 average in 2007 to approximately 16% below by 2023]

34 Using the data in Fig. 2.1, calculate the change in the real interest rate between December 2021 and October 2022.

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35 Using Fig. 2.1, identify two pieces of evidence that suggest interest rate rises were followed by a fall in CPI inflation.

[2]

36* Evaluate, using the information in Extract 2, whether supply-side policies would be a more effective way of raising UK living standards than demand-side policies. **[15]**

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Extract 3

The National Living Wage

The UK's National Living Wage (NLW) was introduced in 2016 for workers aged 25 and over and has been raised each year by the government on the advice of the Low Pay Commission. In April 2024, the NLW was raised from £10.42 to £11.44 an hour, a rise of 9.8%, and its scope was extended to all workers aged 21 and over. Around 2.7 million workers benefited directly from the increase.

The Low Pay Commission aims to set the NLW at a level that 'boosts the pay of low earners without significant adverse consequences for employment'. Initial fears that the NLW would cause large-scale job losses have not been widely realised, though employers in low-margin sectors such as hospitality, social care, and retail have faced significant cost pressures. Some have responded by cutting hours, reducing staff benefits, or automating tasks.

Economists remain divided on the long-term impact. Some argue that a higher NLW acts as an efficiency wage, raising morale, reducing staff turnover, and encouraging firms to invest in training and capital, thereby boosting productivity. Others argue that in sectors where the NLW significantly raises costs, small firms may be unable to pass on higher costs to consumers, leading to firm closures and job losses in the long run.

The effect on income inequality is also debated. The NLW has compressed the wage distribution at the lower end. However, critics note that because the NLW is paid per hour, households with no workers — including many of the poorest — do not benefit. Some supporters argue that monopsony power is widespread in low-wage labour markets, meaning a higher wage floor can raise employment, not reduce it.

Fig. 3.1: UK National Living Wage, 2016–2024 (£ per hour)

2016: £7.20 2018: £7.83 2020: £8.72 2022: £9.50 2023: £10.42 2024: £11.44

37 Using Fig. 3.1, calculate the percentage increase in the UK National Living Wage between 2016 and 2024.

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[2]

38 Evaluate, using the information in Extract 3, whether a further rise in the National Living Wage is likely to reduce income inequality in the UK. **[8]**

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END OF QUESTION PAPER